

After passing through mysterious and hard-to-imitate factories, these materials came out at the other end as fabulous new products such as nylon, DDT, synthetic rubber, quick-drying paint, and endless other new materials that seemed sure to be an ever-increasing source of wealth for their fortunate producers. Then, as the 1960s arrived, the image changed. The chemical industry, to the investment community, came to resemble steel or cement or paper in that it was selling bulk commodities on a basis of technical specification so that Jones's chemicals were more or less identical with Smith's. Capital-intensive industries usually are under major pressure to operate at high rates of capacity in order to amortize their large fixed investments. The result is frequently intense price competition and narrowing profit margins. This changed image caused the shares of the major chemical companies to sell at significantly lower price-earnings ratios in relation to stocks as a whole in the, say, ten-year period that ended in 1972 than they had in the past. While still considerably higher than in many industries, chemical price-earnings ratios started more closely to resemble those of industries like steel, paper, and cement.

Now the remarkable thing about all this is that with one important exception there was little or nothing different in the fundamental background of this industry in the 1960s than there was in the prior thirty years. It is true that in the latter half of the 1960s there was a serious glut of capacity in certain areas such as the manufacture of most synthetic textile products. This was a major temporary depressant of the earnings of certain of the leading chemical companies, particularly DuPont. But the basic characteristics of the industry had in no way changed sufficiently to account for this rather drastic change in the industry's status in the financial community. Chemical manufacture always had been capital-intensive. Most products had always been sold on a technical specification basis so that Jones could seldom raise his price above Smith's. On the other hand, as a host of new and greatly improved pesticides, packaging materials, textiles, drugs, and countless other products have shown, the 1960s and the 1970s have afforded this industry an everexpanding market. Opportunities seem almost limitless for human brains to rearrange molecules so as to create products not found in nature that will have special properties to cater to the needs of man better or more cheaply than the previously used natural materials.